EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Langgangan, now Sta. Praxedes, Cagayan, was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays, with a total land area of 110 sq. km. It is classified as a fifth-class municipality.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sta. Praxedes for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Sta. Praxedes, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	309,916,874.86	298,578,745.20	11,338,129.66
Liabilities	53,443,099.82	33,048,992.45	20,394,107.37
Government Equity	256,473,775.04	265,529,752.75	(9,055,977.71)
Financial Performance			
Income	100,013,210.05	86,321,829.65	13,691,380.40
Expense	100,289,766.82	85,784,012.99	14,505,753.83
Net Income	(276,556.77)	537,816.66	(814,373.43)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Purchase of Disaster Equipment/Vehicle	2,295,000.00
Acquisition of Land for Agri-Center	2,300,000.00
Sinag Pabahay Project (Housing and Community Building)	2,198,321.00
Project ETANG (Edukasyong Tulong at Alalay para sa mga Mag-aaral)	1,639,505.00
Total	**8,432,826.00**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Sta. Praxedes, Cagayan for the year-ended December 31, 2024 due to non-conduct of a complete inventory count, reconciliation and one-time cleansing of the Property, Plant and Equipment account, thus, the existence, accuracy and reliability of the account amounting to P217,949,867.41 cannot be relied upon.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Semi-expendable items totaling to P6.982 million, with a net book value of P2.075 million, acquired and issued prior to CY 2024, were derecognized as Property, Plant and Equipment, but were not properly closed in the books of accounts and were erroneously recorded as Other Supplies and Materials Inventory, thereby, overstating the accounts "Other Supplies and Materials Inventory" and "Government Equity" by P2.075 million.

   We recommended that the Municipal Accountant effect the necessary correcting entries for the derecognition of semi-expendable items acquired and issued prior to CY 2024. We also recommended that the Management comply with the procedural guidelines provided in COA Circular 2022-04 and COA Circular No. 2024-06 on the treatment of semi-expendable items.

2. Transactions totaling P3.190 million were incorrectly recorded as Due to LGUs, thereby overstating the account by the same amount and affecting the accuracy of the Due to LGUs account as at December 31, 2024.

We recommended that the Management:

a. Review and reconcile all transactions related to inter-local government unit transactions to ensure compliance with COA Circular No. 2015-009; and

b. Direct the Municipal Accountant to effect the necessary correcting entries to reflect the correct account balances.

3. Transactions totaling P1.214 million were incorrectly recorded as Accounts Payable, thereby overstating the Accounts Payable account by the same amount and affecting the accuracy of the balance of the account as presented in the Financial Statements as at December 31, 2024.

   We recommended that the Management direct the Municipal Accountant to reclassify the transactions totaling P1.214 million and ensure that the transactions are recorded in their appropriate accounts to accurately present the balances of the accounts in the financial statements.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	**-**	**-**	**-**	-	-
Current Year	**-**	**-**	**-**	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the ten (10) audit recommendations in the CY 2023 Annual Audit Report, six (6) were implemented and four (4) were partially implemented.